(i) *Profits* and *dividends* which the government gets from its public sector undertakings (PSUs).

(ii) *Interests* recieved by the government out of all loans forwarded by it, be it inside the country (i.e., internal lending) or outside the country (i.e., external lending). It means this income might be in both domestic and foreign currencies.

(iii) *Fiscal services* also generate incomes for the government, i.e., currency printing, stamp printing, coinage and medals minting, etc.

(iv) *General Services* also earn money for the government as the power distribution, irrigation, banking, insurance, community services, etc.

(v) *Fees*, *Penalties* and *Fines* received by the government.

(vi) *Grants* which the governments receives—it is always external in the case of the central government and internal in the case of state governments.

Revenue Expenditure

All the expenditures incurred by the government are either of *revenue kind* or *current kind* or *compulsive kind.* The basic identity of such expenditures is that they are of consumptive kind and do not involve creation of productive assets. They are either used in running of a productive process or running a government. A broad category of things that fall under such expenditures in India—

(i) *Interest* payment by the government on the internal and external loans;

(ii) *Salaries*, *Pension* and *Provident Fund* paid by the government to the government employees;

(iii) *Subsidies* forwarded to all sectors by the government;

(iv) *Defence* expenditures by the government;

(v) *Postal Deficits* of the government;

(vi) *Law and order* expenditures (i.e., police & paramilitary);

(vii) Expenditures *on social services* (includes all social sector expenditures as education, health care, social security, poverty alleviation, etc.) and *general services* (tax collection, etc.);